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22CB002 – BUSINESS STRATEGY

Department: Computer Science and Engineering
Batch/Year: 2023–2027/ VII Year CSE
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Date: 07.08.2026

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COURSE OBJECTIVES

The Course will enable learners to:

- Determine the concept and process of strategic management.
- Analyze the internal and external environment.
- Formulation of strategies, implementation and evaluation of strategies.
- The course will cover case studies and latest business events.

COURSE OUTCOMES

Upon completion of the course, the students will be able to:

CO1: Become familiar with both internal and external environment. They would also become familiar with corporate and growth strategies, appreciate implementation of such strategies

CO2: Learn the fundamental concepts of strategic management to analyse business situations and apply these concepts to solve business problems.

CO3: Understand the fundamental principles of and interrelationships among business functions such as: R&D,production, marketing, finance, and HR and information technology.

CO4: Apply the inter-relationships of business to individuals, other organizations, government and society.

CO5: Analyze complex, unstructured qualitative and quantitative

problems, using appropriate tools.

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UNIT I	INTRODUCTIONTO STRATEGICMANAGEMENT	9

Importance of Strategic Management - Vision and Objectives - Schools of thought in StrategicManagement- Strategy Content, Process, and Practice- Fit Concept and Configuration Perspectivein StrategicManagement

UNIT II	INTERNAL ENVIRONMENTOF FIRM- RECOGNIZING A FIRM'S INTELLECTUAL ASSETS	9

Core Competence as the Root of Competitive Advantage - Sources of Sustained Competitive Advantage - Business Processes and Capabilities-based Approach to Strategy

UNIT III	EXTERNAL ENVIRONMENTSOF FIRM- COMPETITIVESTRATEGY	9

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UNIT V	STRATEGY IMPLEMENTATION:STRUCTURE AND SYSTEMS	9

The 7S Framework- StrategicControl and CorporateGovernance

TOTAL: 45 PERIODS

UNIT III	EXTERNAL ENVIRONMENTS OF FIRM- COMPETITIVE STRATEGY	9
Five Forces of Industry Attractiveness that Shape Strategy - The concept of Strategic Groups, and Industry Life Cycle - Generic Strategies - Generic Strategies and the Value Chain Analysis.		

LECTURE PLAN

S.No.	Topics to be covered	No. of periods	Proposed date	Actual lecture date	CO	Taxonomy level	Mode of delivery
1	**Introduction**	1			3	K1,K2	Ppt, case analysis
2	**PESTLE Analysis**	1			3	K3	Ppt, Case analysis
3	**Microenvironment**	1			3	K2,K3	Ppt
4	**Porter's five forces model**	2			3	K4	PPT
5	**Strategic groups**	1			3	K2,K3	PPT
6	**Industry life cycle**	1			3	K2,K3	PPT
7	**Porter's generic strategies**	2			3	K3,K4	PPT

Activity	Topic	Outcome
Newspaper analysis	Students are assigned articles pertaining to business and to identify the environmental factors	Real time analysis

3. Introduction

External Environment of firm

Businesses operate within an external macro-environment that affects the likelihood of their overall success or failure. Forces beyond the control of businesses can hinder the growth of a business or perhaps be harnessed to propel it forward. Strategic management requires that these external and competitive forces be evaluated, so that opportunities may be leveraged and threats may be mitigated as strategies are developed to improve the success of the firm.

In external analysis of a frim, three correlated environment should be studied and analyzed —

- immediate/industry environment
- national environment
- broader socio-economic environment/macro-environment

Examining the **industry environment** needs an appraisal of the competitive structure of the organization's industry, including the competitive position of a particular organization and it's main rivals. Also, an assessment of the nature, stage, dynamics and history of the industry is essential. It also implies evaluating the effect of globalization on competition within the industry.

Analyzing the **national environment** needs an appraisal of whether the national framework helps in achieving competitive advantage in the globalized environment.

Analysis of **macro-environment** includes exploring macro-economic, social, government, legal, technological and international factors that may influence the environment. The analysis of organization's external environment reveals opportunities and threats for an organization.

Importance of environmental analysis

Understanding the environment that surrounds an organization is important to the executives in charge of the organizations. There are several reasons for this.

a) The environment provides resources that an organization needs in order to create goods and services as no organization is self-sufficient. Organization needs to take in resources such as labor, money, and raw materials from outside its boundaries.

b) Second, the environment is a source of opportunities and threats for an organization. Opportunities are

   events and trends that create chances to improve an organization's performance level. Threats are events and trends that may undermine an organization's performance.

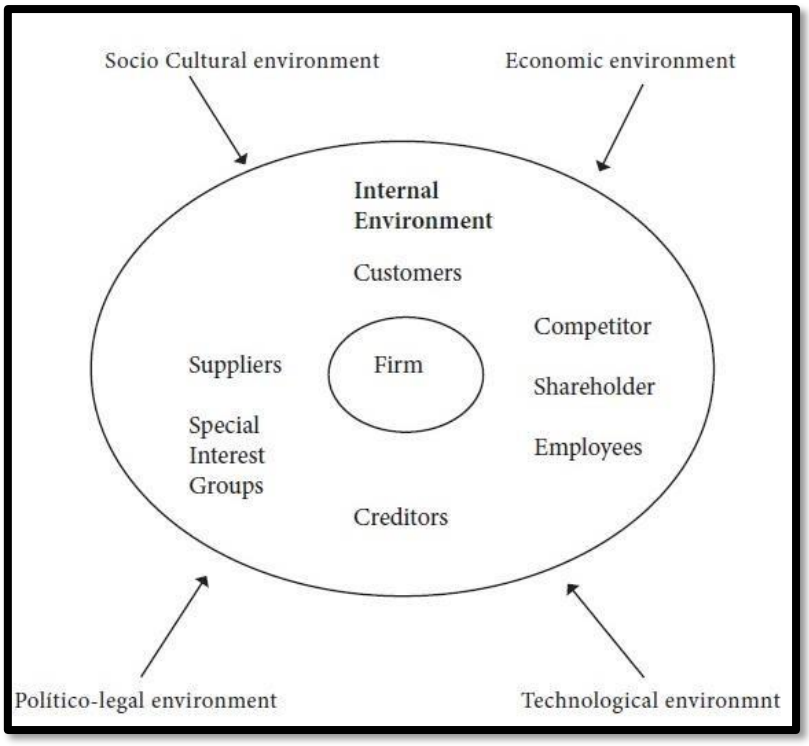
c) Any environmental trend or event creates opportunities for some organizations and threats for others. This is true even in extreme cases.

   For ex: In addition to horrible human death and suffering, the March 2011 earthquake and tsunami in Japan devastated many organizations, ranging from small businesses that were simply wiped out to corporate giants such as Toyota, whose manufacturing capabilities were undermined. As odd as it may seem, however, these tragic events also opened up significant opportunities for other organizations. The rebuilding of infrastructure and dwellings requires concrete, steel, and other materials. Japanese concrete manufacturers, steelmakers, and construction companies benefited in the wake of this tragedy.

d) The environment shapes the various strategic decisions to achieve organizations' success. The environment also places constraints on an organization's goals,

   For ex: A goal of increase in sales by 50% may be affected by economic recession or A firm that sets a goal of increasing annual sales by 50% might struggle to achieve this goal during an economic recession or increase in competition.

e) Analysis of Environmental conditions is crucial to investigate the possibility of in a new country, acquire another company, or launch an innovative product, etc.



3.1 Evaluating the General Environment - PESTEL Analysis

Examining the general environment involves gaining an understanding of key factors and trends in broader society. PESTEL analysis is a popular framework for organizing these factors and trends and isolating how they influence industries and the firms within them.

P Political **factors include elements such as tax policies, changes in trade restrictions and tariffs, and the stability of governments.**

E Economic **factors include elements such as interest rates, inflation rates, gross domestic product, unemployment rates, levels of disposable income, and the general growth or decline of the economy.**

S Socio-cultural **factors include trends in demographics such as population size, age, and ethnic mix, as well as cultural trends such as attitudes toward obesity and consumer activism.**

T Technological **factors include, for example, changes in the rate of new product development, increases in automation, and advancements in service industry delivery.**

E Environmental **factors, also called ecological factors, include, for example, natural disasters, global warming, pollution, and weather patterns.**

L Legal **factors include laws involving issues such as employment, health and safety, discrimination, and antitrust.**

1. **Political:** These factors determine the extent to which a government may influence the economy or a certain industry.

   E.g. tax policies, Fiscal policy, trade tariffs etc. that a government may levy around the fiscal year and it may affect the business environment (economic environment) to a great extent.

2. **Economic:** These factors are determinants of an economy's performance that directly impacts a company and have resonating long term effects.

   E.g. rise in the inflation rate of any economy would affect the way companies' price their products. Economic factors include inflation rate, interest rates, foreign exchange rates, economic growth patterns etc.

3. **Social:** These factors scrutinize the social environment of the market, and gauge determinants like cultural trends, demographics, population analytics etc. An example for this can be buying trends for Western countries like the US where there is high demand during the Holiday season.

   - What are the current demographics, and how are they changing?
   - What is the level and distribution of education and income?
   - What is the level of consumerism and popular attitudes toward it?
   - What are the attitudes toward work and leisure?

4. **Technological:** Pertain to innovations in technology that may affect the operations of the industry and the market favorably or unfavorably.

   E.g. automation, research and development and the amount of technological awareness that a market possesses.

5. **Environmental:** include all those that influence or are determined by the surrounding environment. This aspect of the PESTEL is crucial for certain industries particularly e.g. tourism, farming, agriculture etc.

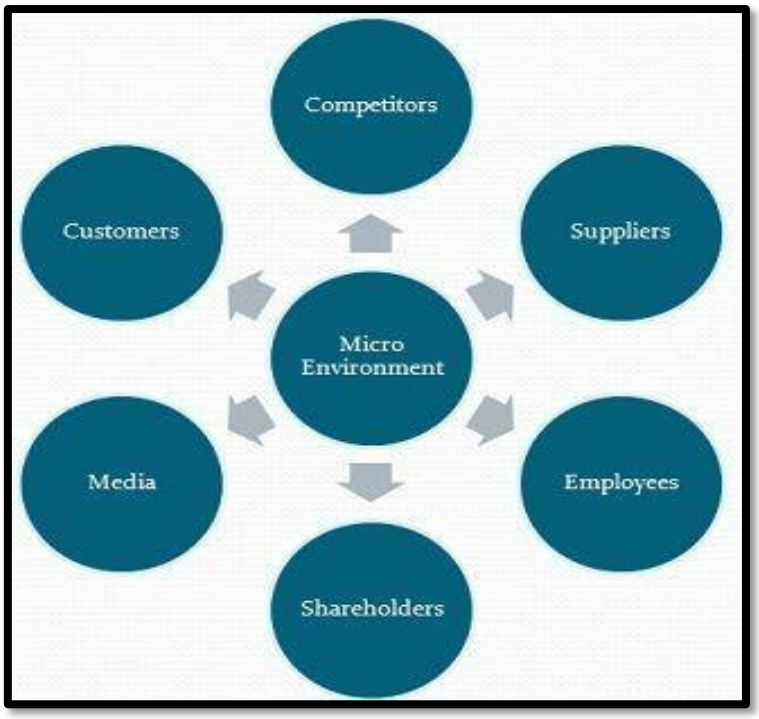
   Factors of a **business environmental analysis include but are not limited to climate, weather, geographical location, global changes in climate, environmental offsets etc.**

6. **Legal:** These factors have both external and internal sides. There are certain laws that affect the business environment, and certain policies that companies maintain for themselves. Legal analysis takes into account both of these angles and then charts out the strategies in light of these legislations.

   E.g. consumer laws, safety standards, labor laws etc.

3.2 Evaluating the Industry – Micro environment

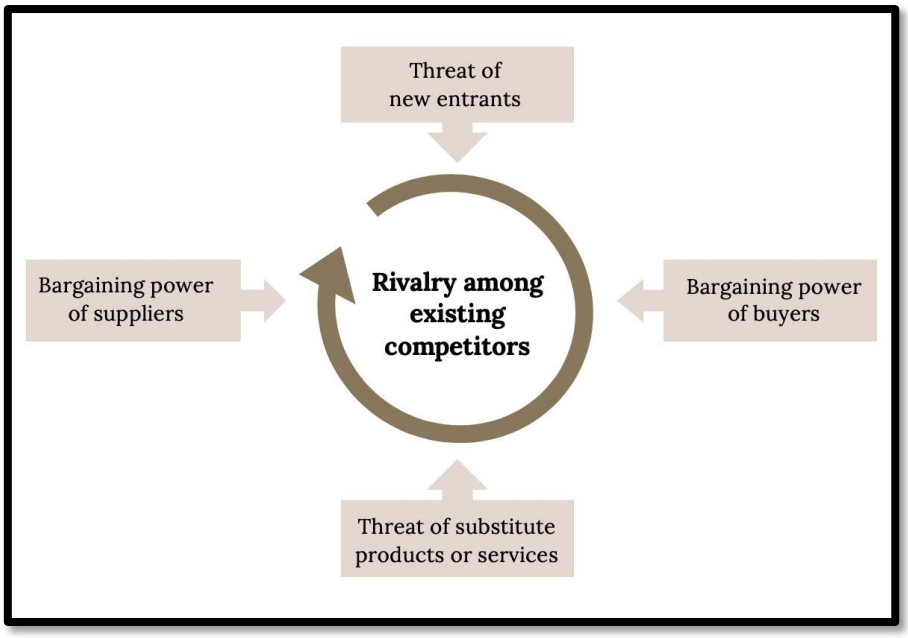
Microenvironment (or alternatively, Competitor Environment) refers to an organization's industry, and the upstream and downstream markets related to it.
An industry is a group of firms producing products that are close substitutes.
Upstream markets are the industries that provide the raw material or inputs for the focal industry, while downstream markets are the industries (sometimes consumer segments) that consume the industry outputs.



3.3 Porter's Five forces model:

Understanding the dynamics that shape how much profit potential exists within an industry is key to knowing how likely a particular firm is to succeed within the industry. There are five key forces that determine the profitability of a particular industry. Taken together, all five forces indicate the attractiveness of an industry. Attractive industries—those with favorable conditions—are more likely to experience higher profitability.

Professor Michael Porter of the Harvard Business School introduced Five Forces Analysis more than thirty years ago , and since then it remains as the most popular analytical tool in the business world.



The purpose of Five Forces Analysis is to identify how much profit potential exists in an industry.

- Five Forces Analysis considers the interactions among the competitors in an industry, potential new entrants to the industry, substitutes for the industry's offerings, suppliers to the industry, and the industry's buyers
- If none of these five forces works to undermine profits in the industry, then the profit potential is very strong.
- If all the forces work to undermine profits, then the profit potential is very weak.
- Once executives determine the profit potential of an industry, they can then decide what strategic moves to make to be successful. If the situation looks bleak, for example, one possible move is to exit the industry.

Bargaining power of Buyers

Buyers purchase the goods and services that the firms in an industry produce. Buyers may be individuals or other firms.

The stronger the power of buyers in an industry, they may force to reduce prices and thus reduce profits. Buyers bargain for higher quality, greater levels of service,

and lower prices. These outcomes are achieved by encouraging competitive battles among the industry's firms.

A number of characteristics that impact the power of buyers to a given industry are illustrated below.

- Buyer's Concentration: A buyer group is powerful when there are relatively few buyers compared to the number of firms supplying the industry. Ex: Buyers that purchase a large percentage of the seller's goods and services are more powerful, as Walmart has demonstrated by aggressively negotiating with suppliers over the years.

- Undifferentiated Products: A buyer group is powerful when the industry's goods or services are standardized or undifferentiated. Ex: Subway can drive a hard bargain when purchasing commodities such as wheat and yeast since both are typically identical to another vendor's.

- Switching Cost: A buyer group is powerful when they face little or no switching costs in changing vendors. A buyer group is powerful when the good or service purchased by the buyers represents a high percentage of the buyer's costs, encouraging ongoing searches for lower-priced suppliers. Ex: Consumers pay little attention to prices when buying toothpaste, but spend hours exhaustively searching the internet for information on automobile prices.

- Threat Of Integration: A buyer group is powerful if it can credibly threaten to compete (integrate backward) in the industry if motivated. Ex: Ford and General Motors are well known for threatening to self-manufacture auto parts if suppliers do not provide goods and services at acceptable prices.

- Vitality of the product: A buyer group is powerful when the good or service purchased by buyer groups is of limited importance to the quality or price of the buyer's offerings. Ex: Auto manufacturers can purchase glass and spark plugs from any vendor as long as it meets quality standards. This gives automakers leverage when negotiating with glass and spark plugs companies.

- Percentage Of Sales: Another leverage for a buyer is the amount of business they provide to a producer. If the share of sales from one buyer is critical, then the producer won't want to risk losing their business.

- Information: If buyers have full information regarding the producer's operations and what their actual costs are, then they'll be able to demand better prices from the producer.

- Price Sensitivity: If the buyers are sensitive to changes in prices and may stop the purchase from producers, then it becomes difficult to ignore their demands.

- Available Substitutes: If there are many substitutes or alternatives within the market, then the buyers will have tons of options to modify and search around.

Supplier Bargaining Power

Refers to the pressure that suppliers put on companies by raising their prices, lowering their quality, or reducing the availability of their products. This framework is a standard part of business strategy.

The bargaining power of the supplier in an industry affects the competitive environment and profit potential of the buyers. The buyers are the companies and the suppliers are those who supply the companies.

Case analysis 1
Apple plans to move away from its Liquid Crystal Polymer (LCP) antenna technology toward a newer modified polyimide (MPI) for all phones built starting in 2019. The newer material performs as well as the older one but has a much higher yield rate, making it more effective. The older LCP process was complicated to manufacture, prone to defects, and could be accomplished by a limited number of suppliers. Because there will be five new suppliers of the MPI antennae, Apple has greater bargaining power, will get comparable performance with fewer failures, and expects to pay lower prices.

Case analysis 2: Bargaining Supplier Power in the Fast Food Industry

To determine whether McDonald's faces high or low bargaining power from suppliers in the fast-food industry, consider the following analysis:

1. **The number of suppliers relative to buyers**: There are a significant amount of suppliers relative to buyers (companies). Therefore, supplier power is low.
2. **Dependence of a supplier's sale on a particular buyer:** If we assume that suppliers have few customers (e.g., a small/medium-sized firm), they are likely to give in to the demands of buyers. On the other hand, if we assume suppliers have several customers, they have more power over buyers. Since we do not know whether these suppliers have few or many buyers, a middle ground would be a reasonable answer. Therefore, supplier power is medium.
3. **Switching costs:** Since there are a significant amount of suppliers in the fast-food industry, switching costs are low for buyers. Supplier power is low.
4. **Forward Integration:** There is low forward integration in the fast-food industry.

Overall, McDonald's faces low bargaining power of suppliers. Therefore, supplier power is not an issue for McDonald's in the fast-food industry.

A number of characteristics that impact the power of suppliers to a given industry are illustrated below.

- Supplier Concentration: A supplier group is powerful if it is dominated by a few companies or is more concentrated than the industry that it supplies.
  Ex: The DeBeers Company of South Africa owns the vast majority of diamond mines in the world. This gives the firm great leverage when negotiating with various jewelry producers.
- Availability substitutes: A supplier group is powerful if there is no substitute for what the supplier group provides.
- Firm's dependence on suppliers: A supplier group is powerful if industry members rely heavily on suppliers to be profitable.

Ex: Computer, cellular phone, and digital appliance manufacturers all rely heavily on suppliers in the microchip manufacturing industry.

- Switching costs: A supplier group is powerful if industry members face high costs when changing suppliers.
- Differentiated products: A supplier group is powerful if their products are differentiated.

  Ex: Dolby Laboratories offers top-quality audio systems that are backed by a superb reputation. Firms that make home theater equipment and car stereos have little choice but to buy from Dolby because many consumers simply expect to enjoy Dolby's technology.
- Forward integration: A supplier group is powerful if it can credibly threaten to compete (integrate forward) in the industry if motivated.

Threat of new entry

Identifying new entrants is important because they can threaten the market share of existing competitors. New entrants to an industry are firms that do not currently compete in the industry but may in the future. New entrants tend to reduce the profit potential of an industry by increasing its competitiveness.

Ways of new entrants entering the market:

- start-up companies created by entrepreneurs,
- foreign firms that decide to enter a new geographic area,
- supplier firms that choose to enter their customers' business,
- or buyer firms that choose to enter their suppliers' business.

Factors affecting the new entrants:

- **Economies of scale :** As the number of customers a firm serves increases, the cost of serving each customer tends to decrease. When the firms in an industry enjoy significant economies of scale, new firms struggle to be able to sell their wares at competitive prices.

- **Capital requirements :** The more expensive it is to enter a business, the less likely a new firm is to attempt to enter it.
- **Access to distribution channels:** The ability to get goods and services to customers can pose a significant challenge to would-be newcomers.
- **Government policy:** Decisions made by governments can deter or encourage potential new entrants. In 2009, the US government kept GM afloat via a massive infusion of cash. Had GM been left to die instead, this could have opened the door for a new company to enter the industry, perhaps by buying some of GM's factories.
- **Differentiation:** Automakers spend millions of dollars each year on advertising in order to highlight the unique features of their cars. A new entrant would struggle to match the differentiation that years of advertising have created for various brands.
- **Switching costs:** Switching costs endured by consumers are one of the challenges facing the makers of alternative fuel vehicles. A massive number of gas stations and repair shops are in place to support gasoline-powered cars, but few facilities can recharge or fix electric cars.
- **Expected retaliation:** New firms must be concerned about whether current industry members will aggressively respond to them entering the market. If a firm succeeded in entering the automobile business, for example, existing companies might slash their prices in order to keep their market share intact.
- **Cost advantages: independent of size** Proprietary technology, access to raw materials, and desirable geographic location are all
- examples of cost advantages not directly associated with size and economies of scale. In the auto industry, the decades of engineering experience possessed by the major auto markers is an example of such an advantage. A new entrant would struggle to duplicate this know-how at any price.

Threat of substitutes

Substitutes are offerings that differ from the goods and services provided by the competitors in an industry but that fill similar needs to what the industry offers.

The ease of switching depends on what costs would be involved (e.g., while it may be easy to sell Coke or Pepsi in bottles or cans, transferring all your data to a new database system and retraining staff could be expensive) and how similar customers perceive the alternatives to be.

Substitute products are goods or services from outside a given industry that perform similar or the same functions as a product that the industry produces.

For example, as a sugar substitute, NutraSweet places an upper limit on sugar manufacturers' prices—NutraSweet and sugar perform the same function but with different characteristics.

The threat of substitute products is high when:

- The substitute offers an attractive price-to-performance trade-off.
- The substitute product's price is lower or its quality and performance capabilities are equal

  to or greater than those of the competing product.
- Customers face few, if any, switching costs.

The Rivalry among Competitors in an Industry

The competitors in an industry are firms that produce similar products or services. Competitors use a variety of moves such as advertising, new offerings, and price cuts to try to outmaneuver one another to retain existing buyers and to attract new ones. High levels of rivalry tend to reduce the profit potential of an industry. A number of characteristics that affect the intensity of the rivalry among competitors are illustrated below.

- **Competitors are numerous or are roughly equal in size and power:** No one firm rules the industry, and cutthroat moves are likely as firms jockey for position.
- **The growth rate of the industry is slow:** A shortage of new customers leads firms to steal each other's customers.
- **Competitors are not differentiated from each other:** This forces firms to compete based on price rather than based on the

  uniqueness of their offerings.

- **Fixed costs in the industry are high:** These costs must be covered, even if it means slashing prices in order to do so.
- **Exit barriers are high:** Firms must stay and fight rather than leaving the industry gracefully.
- **Excess capacity exists in the industry:** When too much of a product is available, firms must work hard to earn sales.
- **Capacity must be expanded in large increments to be efficient:** The high costs of adding these increments needs to be covered.
- **The product is perishable:** Firms need to sell their wares before they spoil and become worthless.

Intense rivalries are common in industries with many companies. With multiple competitors, it is common for a few firms to believe that they can act without eliciting a response. However, evidence suggests that other firms generally are aware of competitors' actions, often choosing to respond to them. At the other extreme, industries with only a few firms of equivalent size and power also tend to have strong rivalries. The large and often similar-sized resource bases of these firms permit vigorous actions and responses. The Fuji/Kodak and Airbus/Boeing competitive battles exemplify intense rivalries between pairs of relatively equivalent competitors.

Electric vehicle industry
With the growing concern of vehicle carbon emissions, the advent of electric cars for consumer use has become inevitable. While the need for a change is clear, the market is clearly developing slowly because there isn't the proper infrastructure for the charging of electric vehicles like the network of gas stations that currently exist. Until companies can differentiate through an increased range and charging options, the industry will continue to develop slowly.

Interpreting the Five Forces

- When using Porter's Five Forces tool, it is important to note the strength of each of the five forces that are analyzed.
- The forces are typically ranked as Strong/High, Moderate/Medium, or Weak/Low.
- If these competitive forces within an industry are high, then the profit potential in that industry is low.
- If the forces within an industry are generally weak, this indicates a stronger potential for profit and a desirable industry to be in.
- Upon doing Porter's Five Forces Analysis, companies should make an informed decision on entering that market, and how they might compete, given the various strengths of the forces.

The Limitations of Five Forces Analysis

- It is assumed that the amount of profit potential in an industry is fixed.
- The possibility of collaboration is downplayed.
- The relationships among the rivals in an industry, for example, are depicted as adversarial. In reality, these relationships are sometimes adversarial and sometimes collaborative. Ex.General Motors and Toyota compete fiercely all around the world, for example, but they also have worked together in joint ventures.
- Similarly, Five Forces Analysis tends to portray a firm's relationships with its suppliers and buyers as adversarial, but many firms find ways to collaborate with these parties for mutual benefit. Concepts such as just-in-time inventory systems depend heavily on a firm working as a partner with its suppliers and buyers.

3.4 What is Strategic Group Analysis ?

A **strategic group** consists of firms that follow similar strategies and similar business models.

There may be several strategic groups in an industry. The firms residing in the strategic group face more intense competition than the firms residing outside the

group. **Hence, it can be said that intra-group competition is more intense than inter-group competition**.

The firms within the strategic group have shown heterogeneity in their performances compared with the ones outside the strategic group.

Along with following the similar strategies, the firms can add factors of uniqueness by differentiating the group from outside the strategic group in order to succeed in the competition.

Definition:

According to Michael Porter, "A strategic group is the group of firms in an industry following the same or a similar strategy along the strategic dimensions".

Characteristics of Strategic Group

The strategic group analysis help to understand the competitive structure of an industry. Some of the characteristics of a strategic group are as follows :

1. The firms within a strategic group possess similar characteristic features such as size, type of products and services, etc.
2. A strategic groups own similar type of competencies and assets such as brand image, distribution capacity, global market share, research and development, etc.
3. The firms of a strategic group follow a similar strategy under similar business model.
4. All the competitive forces existing in the industry impact all the firms of a strategic group in a similar way.
5. Strategic group emphasizes on the level of competition, within that particular group, instead of competition outside the group. Hence, it does not focus on the inter-group competition.
6. Various factors create mobility barriers for the strategic groups such as geographical, financial, operational, organisational, etc. The outcome of this mobility barrier is the evolution of intra industry competition.

Types of Strategic Groups

Strategic groups can be classified on the basis of strategic orientation, which are as follows:

1) Defenders have limited resources and few product lines. They strive to defend their businesses against the competitors, society, and government, instead of developing a competitive edge. Though they strive to expand their business and operations, they are not capable of innovation due to limited resources.

2) Prospectors try to identify the weakness in the competitors business strategy and attack aggressively by adopting an offensive business strategy. They deploy their resources in innovating new products and capturing potential market opportunities.

3) Analysers have operations in two different areas out of which, one is stable and the other is dynamic. They focus more on efficiency in the stable market to derive maximum profitability, They further focus on innovation in dynamic market in order to attain or maintain top market position by way of introducing latest products/ services.

Ex: Wipro in stable software market and dynamic CFL lighting industry.

4) Reactors don't have a uniform and stable strategy; instead, they follow a strategy of guerrilla warfare as because of having limited resources they are not capable of matching or outdoing the giant competitors. This can be useful for small companies with limited resources and those that are not capable of emulating the giants in the field.

Strategic Groups as an Analytical Tool

Analysis of strategic groups is an important concept for understanding the position and competitiveness of a firm. Analyzing the firms that are a part of a strategic group helps in determining the strategic decisions taken by the firms that have led them in implementing similar strategies and yet maintaining their individual market shares.

1) Points-out Mobility Barriers : Forming a group allows the strategists to protect the strategic groups from the aggressive moves taken by the competitive firms outside the group. These hurdles are called as "mobility barriers". These barriers prohibit the movement of firms from one strategic group to another.

2) Identifying Groups with Low Competitive Advantage : Strategic group analysis helps in identifying the firms in the group that are likely to exit from the industry or move to some other strategic group.

3) Represents Future Direction : The strategic grouping of firms allows the organisations to decide their future directions.

4) Analysing Industry Trends : Analysis of a strategic group helps in studying the past trends of an industry for a particular group. Many questions can be answered regarding a strategic group, such as :

- What is the trend direction- upward or downward?
- Are the entry barriers to the strategic group strong or weak?
- Is the trend decreasing the probability of group's sustainability?
- Is the trend blocking the firms' mobility?

Analyzing these details would provide the strategist with an in-depth understanding about the industry and the way it works.

Strategic Group Mapping

A useful tool that can guide the separation of strategic group in an industry is the so called strategic group mapping. **This is a two dimensional display that helps to explain the different strategies of the firm.** These two dimensions should not be interdependent because otherwise the map would show an inherent correlation. Most important, managers must choose those dimensions that are most salient and relevant to their own particular industry.

Strategic group maps are not difficult to create; however, there are a few simple guidelines managers want to use when developing them.

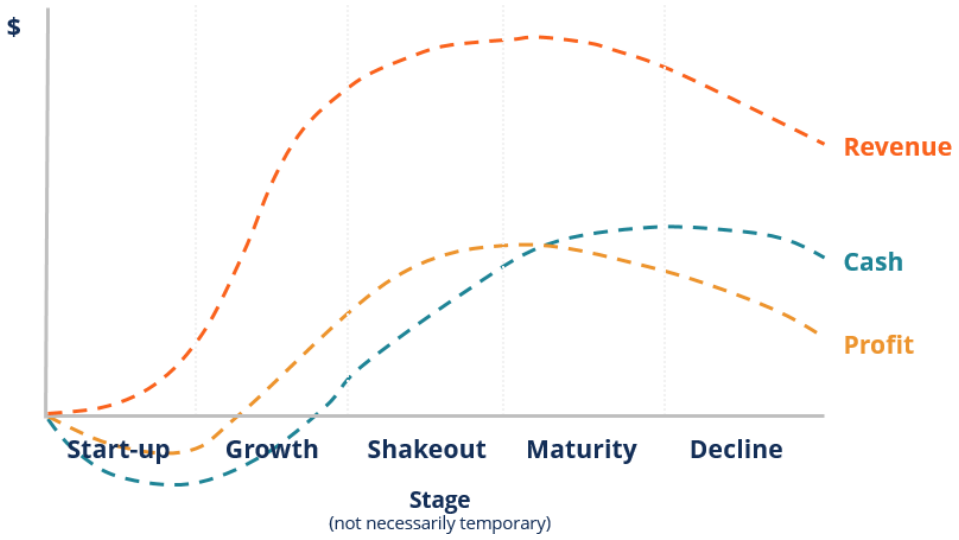
1. **Identify key competitive attributes:** The first step in developing a strategic group map is to identify key competitive attributes that logically differentiate firms in a competitive set.
2. **Create map based upon two key attribute variables.** For the variables selected, assign each variable to the X and Y axis, respectively. Plot each firm using a third variable, revenue, location etc.,
3. **Identify strategic groups.** Once all of the firms have been plotted, enclose each group of firms that emerges in a shape that reflects the positioning on the strategic group. At this point, assess whether or not the differences between each group are meaningful or whether other variables must be selected from which another set of strategic groups can be drawn.



STRATEGIC GROUP MAPPING OF WALMART

3.5 Industry Life Cycle

An industry life cycle depicts the various stages where businesses operate, progress, and slump within an industry. An industry life cycle typically consists of five stages — startup, growth, shakeout, maturity, and decline. These stages can last for different amounts of time – some can be months, some can be years.



Startup Stage (Introduction)

At the startup stage, customer demand is limited due to unfamiliarity with the new product's features and performance. Distribution channels are still underdeveloped. There is also a lack of complementary products that add value for the customers, limiting the profitability of the new product.

Companies at the startup stage are likely to generate zero or very low revenue and experience negative cash flows and profits, due to the large amount of capital initially invested in technology, equipment, and other fixed costs.

Growth Stage

As the product slowly attracts attention from a bigger market segment, the industry moves on to the growth stage where profitability starts to rise. Improvement in product features increases the value to customers.

Complementary products also start to become available in the market, so people have greater benefits from purchasing the product and its complements. As demand increases, product price goes down, which further increases customer demand.

At the growth stage, revenue continues to rise and companies start generating positive cash flows and profits as product revenue and costs surpass break-even.

Shakeout Stage

Shakeout usually refers to the consolidation of an industry. Some businesses are naturally eliminated because they are unable to grow along with the industry or are still generating negative cash flows. Some companies merge with competitors or are acquired by those who were able to obtain bigger market shares at the growth stage.

At the shakeout stage, the growth rate of revenue, cash flows, and profit start slowing down as the industry approaches maturity.

Maturity Stage

At the maturity stage, the majority of the companies in the industry are well-established and the industry reaches its saturation point. These companies collectively attempt to moderate the intensity of industry competition to protect themselves, and to maintain profitability by adopting strategies to deter the entry of new competitors into the industry. They also develop strategies to become a dominant player and reduce rivalry.

At this stage, companies realize maximum revenue, profits, and cash flows because customer demand is fairly high and consistent. Products become more commonplace and popular among the general public, and the prices are fairly reasonable, as compared to new products.

Decline Stage

The decline stage is the last stage of an industry life cycle. The intensity of competition in a declining industry depends on several factors: speed of decline, the height of exit barriers, and the level of fixed costs. To deal with the decline, some companies might choose to focus on their most profitable product lines or services in order to maximize profits and stay in the industry.

Some larger companies will attempt to acquire smaller or failing competitors to become the dominant player. For those who are facing huge losses and that do not believe there are opportunities to survive, divestment will be their optimal choice.

3.6 Generic strategies

"Generic strategies," can be applied to products or services in all industries, and to organizations of all sizes. They were first set out by Michael Porter in 1985 in his book, "**Competitive Advantage: Creating and Sustaining Superior Performance.**"

The generic strategies are "Cost Leadership" (no frills), "Differentiation" (creating uniquely desirable products and services) and "Focus" (offering a specialized service in a niche market). The Focus strategy is divided into two parts: "Cost Focus" and "Differentiation Focus."



3.6.1 The Cost Leadership Strategy

There are two main ways of achieving this within a Cost Leadership strategy:

- Increasing profits by reducing costs, while charging industry-average prices.
- Increasing market share by charging lower prices, while still making a reasonable profit on each sale because you've reduced costs.

Companies that are successful in achieving Cost Leadership usually have:

- Access to the capital needed to invest in technology that will bring costs down.

- Very efficient logistics.
- A low-cost base (labor, materials, facilities), and a way of sustainably cutting costs below those of other competitors.

The greatest risk in pursuing a Cost Leadership strategy is that these sources of cost reduction are not unique to you, and that other competitors may copy the cost reduction strategies. Hence, it is important to continuously find ways of reducing every cost.

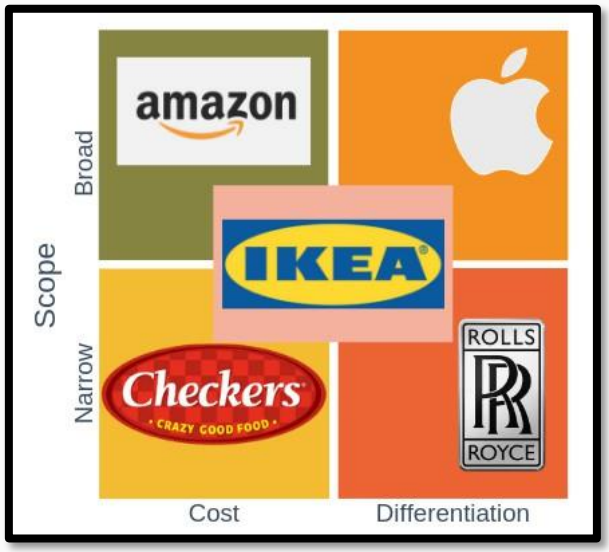
3.6.2 The Differentiation Strategy

Differentiation involves making the products or services different from and more attractive than those of the competitors. Differentiation strategy depends on the exact nature of the industry and of the products and services themselves, but will typically involve features, functionality, durability, support, and also the brand image.

To make a success of a Differentiation strategy, organizations need:

- Good research, development and innovation.
- The ability to deliver high-quality products or services.
- Effective sales and marketing, so that the market understands the benefits offered by the differentiated offerings.

Large organizations pursuing a differentiation strategy need to stay agile with their new product development processes. Otherwise, they risk attack on several fronts by competitors pursuing Focus Differentiation strategies in different market segments.



Comparison of cost leadership and Differentiation strategies.

Competitive Force	Cost Leadership		Differentiation	
	Benefits	Risks	Benefits	Risks
Threat of entry	• Protection against entry due to economies of scale	• Erosion of margins • Replacement	• Protection against entry due to intangible resources such as a reputation for innovation, quality, or customer service	• Erosion of margins • Replacement
Power of suppliers	• Protection against increase in input prices, which can be absorbed	• Erosion of margins	• Protection against increase in input prices, which can be passed on to customers	• Erosion of margins
Power of buyers	• Protection against decrease in sales prices, which can be absorbed	• Erosion of margins	• Protection against decrease in sales prices, because well-differentiated products or services are not perfect imitations	• Erosion of margins
Threat of substitutes	• Protection against substitute products through further lowering of prices	• Replacement, especially when faced with innovation	• Protection against substitute products due to differential appeal	• Replacement, especially when faced with innovation
Rivalry among existing competitors	• Protection against price wars because lowest-cost firm will win	• Focus of competition shifts to non-price attributes • Lowering costs to drive value creation below acceptable threshold	• Protection against competitors if product or service has enough differential appeal to command premium price	• Focus of competition shifts to price • Increasing differentiation of product features that do not create value but raise costs • Increasing differentiation to raise costs above acceptable threshold

3.6.3 Focus strategies

Cost Focus means emphasizing cost-minimization **within a focused market**, and Differentiation Focus means pursuing strategic differentiation **within a focused market**.

COST focus strategy

A focused cost leadership strategy requires competing based on price to target a narrow market. A firm that follows this strategy does not necessarily charge the lowest prices in the industry. Instead, it charges low prices relative to other firms that compete within the target market.

A cost focus strategy is when businesses attempt to attract customers based on price. Companies who use this strategy aim to serve a specific, segmented target market with the lowest price on the market for their goods or service by undercutting their competitors' prices.

A focused cost strategy also aims to reduce operational costs within the business as much as possible. Cost focus concentrates on reducing costs, improving financial efficiency, and offering temptingly low prices too, widening the mark-up price of their product or service.

Benefits to using a cost focus strategy:

1) Entice customers: customers will be attracted by a good value for money product or service given the quality of the product is not compromised.

2) Aid your branding : A cost-focus strategy is a low-cost, narrowly focused market strategy, but the brand is not 'cheap'.

3) Efficient supply chain: A streamlined supply chain process will reduce costs associated with dealing with third parties and intermediary businesses marking up the price.

4) Low operational costs: Technology helps improve organisational efficiency.

5) Large quantity of stock : Good economies of scale are achieved through buying in bulk and having a good relationship with suppliers.

6) Faster product turnover through process automation : Standardising operational processes means less time to produce items, thus reducing time-to-market.

Firms that compete based on price and target a narrow market are following a focused cost leadership strategy.

SanDisk - Porter's Generic Strategies example



SanDisk is a "discrete" company, that didn't intended to "change the world", and succeeded by doing one simple thing:

- **Develop affordable high-quality flash memory products**.
  - USBs, Memory cards, etc.

Unlike Apple (which was much larger) **they didn't try to develop** computers or **other technological devices**.

- **They focused** on memory devices, and how to reduce costs and therefore prices.

They followed a **Cost Focus Strategy**.

* If you think all companies follow this Strategy, think about Apple's iPhone prices.

- While SanDisk's prices have decreased over years, Apple's have risen.

All Companies try to reduce Costs, but not all see it as a Central Pillar of their Strategy.

Focused Differentiation Strategy

A focused differentiation strategy requires offering unique features that fulfill the demands of a narrow market.
Narrow markets are defined in different ways in different settings. Some firms using a focused differentiation strategy concentrate their efforts on a particular sales channel, such as selling over the internet only. Others target particular demographic groups.

Benefits of creating a differentiation strategy

Differentiation strategies have several advantages that may help you develop a unique niche within your industry. Here are the possible benefits of creating a differentiation strategy:

1. Reduced price competition

Differentiation strategy allows a company to compete in the market with something other than lower prices. For example, a candy company may differentiate their candy by improving the taste or using healthier ingredients. Although its competitors have cheaper candy, they can't provide the taste that consumers may want from that specific candy company.

2. Unique products

This benefit of a differentiation strategy is that it builds on the unique qualities of a product. Your company may create a list of characteristics its products contain that your competitors lack. Those characteristics will differentiate your product, and you may communicate this through effective marketing and advertising.

3. Better profit margins

When products are differentiated and turned into higher-quality products, it offers more opportunity for larger profit margins. For example, if your target market is willing to pay a higher price for top quality or better value, you may generate more revenue with fewer sales.

4. Consumer brand loyalty

Effective differentiation may create brand loyalty in customers if a business maintains the perceived quality of your products. For example, if you have a brand that is marketed by a sports figure, it will likely increase brand loyalty because it enhances the value of your brand.

5. No perceived substitutes

A strategy that successfully differentiates may present the idea that there is no other product available on the market to substitute it with. A business may gain an advantage in the market even when there are similar products available because customers will not be willing to replace your product with another one. Companies try to differentiate themselves by providing consumers with unique products that are frequently revolutionized.

ASSIGNMENTS

1. Choose a company / industry of your choice and do industry life cycle analysis.

   Condition : No two students will do a same industry analysis.
2. Using a recent news article, identify a trend that has a positive and negative implication for a particular industry.

MINIPROJECTS

1. Analyse automobile sector with respect to its external environment.
2. Analyse IT industry with respect to external environment.
3. Industry life cycle analysis of Aircraft industry.
4. Industry life cycle analysis of Edtech industry in India

PART A QUESTIONS AND ANSWERS

1) What does each letter of PESTEL mean?

- P - Political
- E – Economic
- S – Social
- T – Technological
- E – Environmental
- L - Legal

2) Are all six elements of PESTEL important to every organization? Why or why not?

Yes. All the elements are important.

- PESTLE Analysis is a strategic tool that scans a business's external environment. It comprises political, economic, sociological, technological, legal, and environmental factors.
- The study facilitates the identification of business threats and opportunities and aids in strategic decision-making.
- The analysis gives an idea of macro-environmental factors that impacts the functioning of a particular business.

3) What are the five forces of Michael Porter that affect a business?

Porter's 5 forces are:

1. Competition in the industry
2. Potential of new entrants into the industry
3. Power of suppliers
4. Power of customers
5. Threat of substitute products

4) What Are Some Drawbacks of Porter's Five Forces?

1. It is backward-looking, making its findings mostly relevant only in the short term;
2. The tendency to try to use the five forces to analyze an individual company, versus a broad industry.
3. the framework is structured so that each company is placed in only one industry group.
4. The need to assess all five forces equally when some industries aren't as heavily impacted by all five.

5) Define strategic groups and describe their influence on firms.

Strategic groups can be defined as a group of companies within a particular industry that follows a similar strategy or similar business model.

The companies that are part of the same strategic group have more competition with the members of the strategic groups than the competitors outside the strategic group.

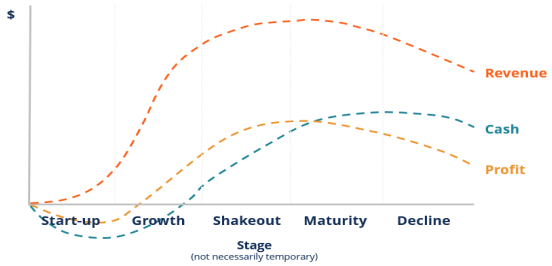
6) What is the difference between internal and external environment?

BASIS FOR COMPARISON	MICRO (INTERNAL) ENVIRONMENT	MACRO (EXTERNAL) ENVIRONMENT
Meaning	Micro environment is defined as the nearby environment, under which the firm operates.	Macro environment refers to the general environment, that can affect the working of all business enterprises.
Alternatively known as	Internal Environment	External Environment
Elements	COSMIC, i.e. Competitors, Organization itself, Suppliers, Market, Intermediaries and Customers.	PESTLE, i.e. Population & Demographic, Economic, Socio-Cultural, Technological, Legal & Political and Environmental.
Nature of elements	Specific	General
Are these factors controllable?	Yes	No
Influence	Directly and Regularly	Indirectly and Distantly

7) What do you mean by industry life cycle?

The industry life cycle refers to the evolution of an industry or business through four stages based on the business characteristics commonly displayed in each phase. The four phases of an industry life cycle are the introduction, growth, maturity, and decline stages.

8) Represent industry life cycle graphically.



9) What are the Porter's generic strategies?

Porter prposed three generic strategies

a) "Cost Leadership"
b) "Differentiation" (creating uniquely desirable products and services) and
c) "Focus" (offering a specialized service in a niche market).
The Focus strategy is divided into two parts: "Cost Focus" and "Differentiation Focus."

10) What Is Cost Leadership Strategy?
Cost leadership is a business-level strategy employed by companies who wish to gain a competitive advantage by being the lowest-cost producer of a service, production process, or commodity.

11) Define Differentiation strategy?

A differentiation strategy is an approach businesses develop by providing customers with something unique, different and distinct from items their competitors may offer in the marketplace. The main objective of implementing a differentiation strategy is to increase competitive advantage.

12) What are the two types of differentiation strategy?

Broad differentiation strategy: A broad differentiation strategy consists of building a brand or business that is different in some way from its competition. It is applied to the industry and will appeal to a vast range of consumers.

Focused differentiation strategy: A focused differentiation strategy requires the business to offer unique features to a product or service, and it must fulfill the requirements of a niche or narrow market.

13) Differentaite between cost leadership and cost focus strategies.

Description	Cost Focus	Cost Leadership
Company Size	Suitable for a smaller company that target a specific group of customers within the industry	Suitable for a larger company that targets the whole industry and
Capital requirement	Require less capital	Require a huge capital to invest in R&D and production process.
Competition	The competition is not really huge as the company focus on a niche market share.	It's gone be a hug competition as the company compete with everyone to be the market leader

14) What are generic strategies?

A generic strategy is a general way of positioning a firm within an industry. Focusing on one generic strategy enable the firms to concentrate on the core elements of firms' business-level strategies and avoid competing in the markets better served by other generic strategies.

Part B

1. Describe strategic management and environmental analysis
2. Discuss Michael Porter's generic strategies
3. Explain about Organizational analysis, and the value chain analysis
4. Discuss the six parts of the external environmental analysis process.
5. Explain the importance of analyzing and understanding the firm's external environment
6. Identify the five competitive forces and explain how they determine an industry's profitability potential.
7. Describe activities that allow a firm to understand the external environment of an industry.
8. When reviewing an organization as part of the environmental scanning process, what political and ethical factors must be taken into account and why? What effect do the previous two factors have on an organization's leadership climate and why might this be important when developing strategy?

ONLINE CERTIFICATION COURSES

1. https://www.coursera.org/learn/strategic-management
2. https://www.edx.org/learn/strategic-management
3. https://onlinecourses.nptel.ac.in/noc22_mg88/preview
4. https://onlinecourses.nptel.ac.in/noc22_mg89/preview

Assignments

S. No.	Assignments Title	CT Level	K-Level
1	Analyze the Motives for Diversification and Their Role in Business Growth	CO4	K4
2	Analyze Expansion, Integration, and Diversification Strategies Adopted by a Leading Company	CO4	K4
3	Evaluate the Effectiveness of Business Portfolio Analysis in Strategic Decision-Making	CO4	K5
4	Design an Appropriate Growth Strategy Combining Expansion, Integration, and Diversification for a Selected Organization	CO4	K6
5	Develop a Business Portfolio Strategy for a Diversified Company Using Portfolio Analysis Techniques	CO4	K6

Real-time applications



1) Environmental Scanning by Banks in India: A Comparitive Study
   - https://www.ripublication.com/gjfm-spl/gjfmv6n7_05.pdf
2) The impact of the type of strategy on environmental scanning activities in the banking industry: an international perspective
   - https://go.gale.com/ps/i.do?id=GALE%7CA112540277&sid=googleScholar&v=2.1&it=r&linkaccess=abs&issn=10569219&p=AONE&sw=w&userGroupName=tel_oweb&isGeoAuthType=true

Mini Project Suggestions

S. No.	Mini Project Title	CT Level	K-Level
1	Joint Venture Strategy Analysis: A Study of a Successful Corporate Partnership	CO4	K4
2	Impact of Mergers and Acquisitions on the Strategic Performance of an Organization	CO4	K5
3	Comparative Analysis of Related and Unrelated Diversification Strategies in Selected Industries	CO4	K4
4	Developing a Strategic Growth Plan Using Expansion, Integration, Alliances, and Diversification	CO4	K5
5	Designing a Diversification Strategy for a Growing Business Using Industry and Market Analysis	CO4	K6

AI Based Examples

Analysis of Related and Unrelated Diversification Strategies in Multinational Companies

Uses AI to compare diversification patterns and identify strategic opportunities.

Business Portfolio Analysis for Strategic Investment Decisions

Uses AI analytics to evaluate business units and recommend investment priorities.

Identification of New Business Opportunities for Diversified Companies

Applies AI and market-data analysis to identify potential new industries and markets.

Evaluation of Expansion and Integration Strategies

Uses predictive analytics to assess the potential impact of expansion and vertical/horizontal integration.

Partner Selection System for Strategic Alliances

Uses machine learning and multi-criteria analysis to identify suitable strategic partners.

Success Prediction Model for Joint Ventures

Predicts the potential success of joint ventures using financial, market, and organizational factors.

Mergers and Acquisitions Target Identification System

Uses AI to screen and rank potential acquisition targets based on strategic fit and performance indicators.

AI Based Examples

Post-Merger Performance Prediction and Risk Analysis

Predicts operational and financial outcomes after mergers and acquisitions.

Generative AI-Based Strategic Diversification Recommendation System

Uses Generative AI to recommend suitable diversification strategies based on company capabilities and market trends.

Business Portfolio Optimization Using BCG Matrix and Predictive Analytics

Combines portfolio analysis with AI-based predictions to support resource allocation.

Competitive Analysis for Diversification and Expansion Decisions

Uses AI to analyze competitors, market trends, and industry attractiveness.

AI-Powered Strategic Decision Support System for Corporate Growth

Integrates AI to recommend expansion, integration, diversification, alliance, JV, or M&A strategies.

ASSESSMENT SCHEDULE

- **Tentative schedule for the Assessment During 2024-2025 Odd Semester:**

S.NO	Name of the Assessment	Start Date	End Date	Portion
1	Unit Test 1			UNIT 1
2	Internal Assessment Test 1			UNIT 1 & 2
3	Unit Test 2			UNIT 3
4	Internal Assessment Test 2			UNIT 3 & 4
5	Model Examination			ALL 5 UNITS

Prescribed Text Books & Reference Books

TEXT BOOKS:
1. Robert M. Grant, Contemporary StrategicManagement, Blackwell, 7th Edition, 2012.
1. D N Dwivedi, Managerial Economics, 8th Edition, Vikas Publishing House, 2018.
REFERENCES:
1. Richard Rumelt, Competitive Advantage, 2011.
1. Kazmi, Azhar, Business Policy and Strategic Management, Third Edition, Tata McGrawhill, New Delhi, 2008.

Thank you

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